CORVINUS UNIVERSITY of BUDAPEST

Short term Financing

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International Corporate Finance

Lecture

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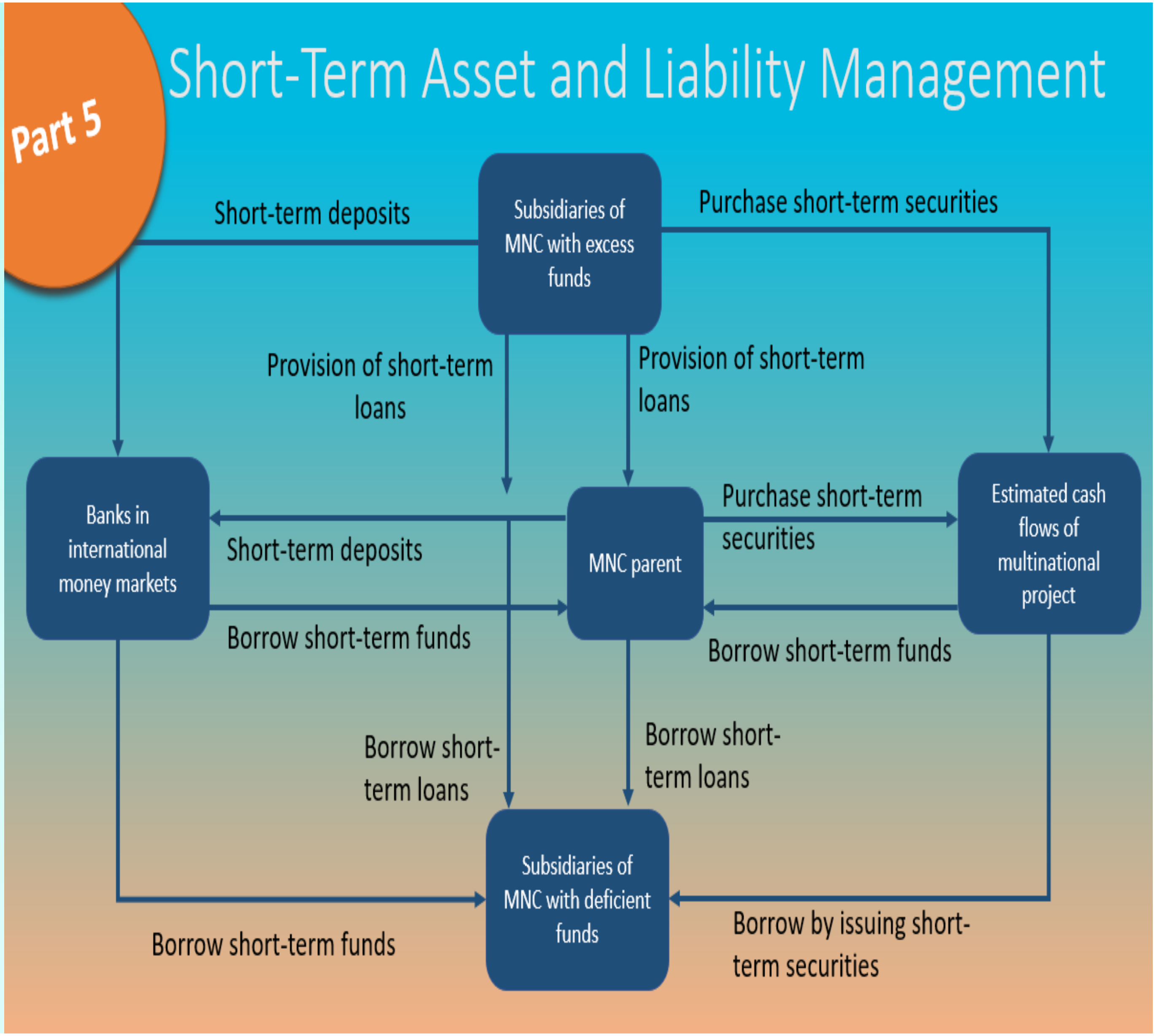
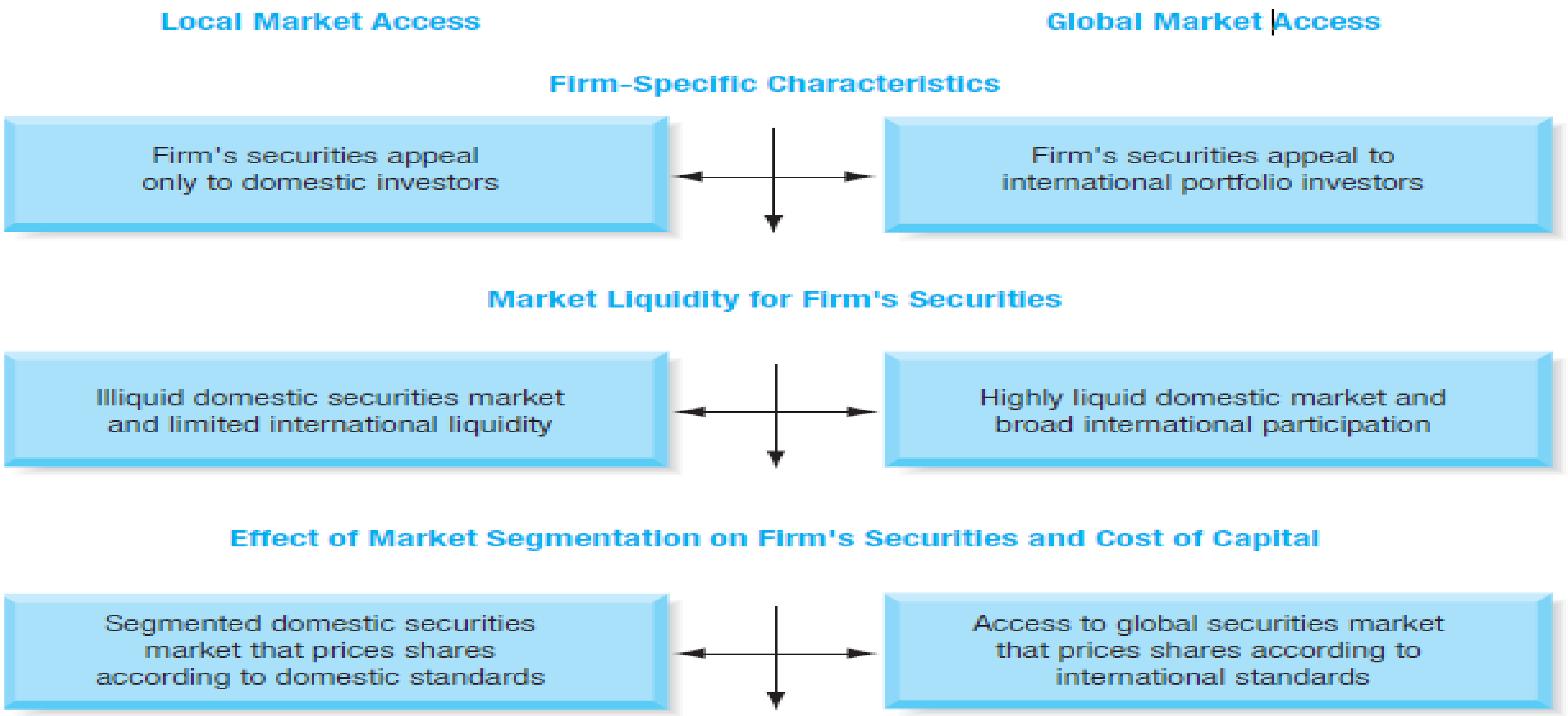
Topics

- Long term Finance
- Short term Finance
- Methods of payment for international trade.
- Common trade finance methods.
- Major agencies that facilitate international trade with export insurance and/or loan programs.


Part IV
Long-Term Asset and Liability Management
Macro-level distortion
Existing Host Country Tax Laws
Potential Revision in Host Country Tax Laws or Other Provisions
Exchange Rate Projections
Estimated Cash Flows of Multinational Project
Country Risk Analysis
Multinational Capital Budgeting Decisions
MNC's Access to Foreign Financing
MNC's Cost of Capital
International Interest Rates on Long-Term Funds
Required Return on Multinational Project
Risk Unique to Multinational Project
Firm specific


Part 5
Short-Term Asset and Liability Management
Short-term deposits
Subsidiaries of MNC with excess funds
Purchase short-term securities
Provision of short-term loans
Provision of short-term loans
Banks in international money markets
Short-term deposits
MNC parent
Purchase short-term securities
Estimated cash flows of multinational project
Borrow short-term funds
Borrow short-term funds
Borrow short-term loans
Borrow short-term loans
Subsidiaries of MNC with deficient funds
Borrow short-term funds
Borrow by issuing short-term securities

IT 13.1 Dimensions of the Cost and Availability of Capital Strategy



Source: Eitmann

Long-Term Financing Decision

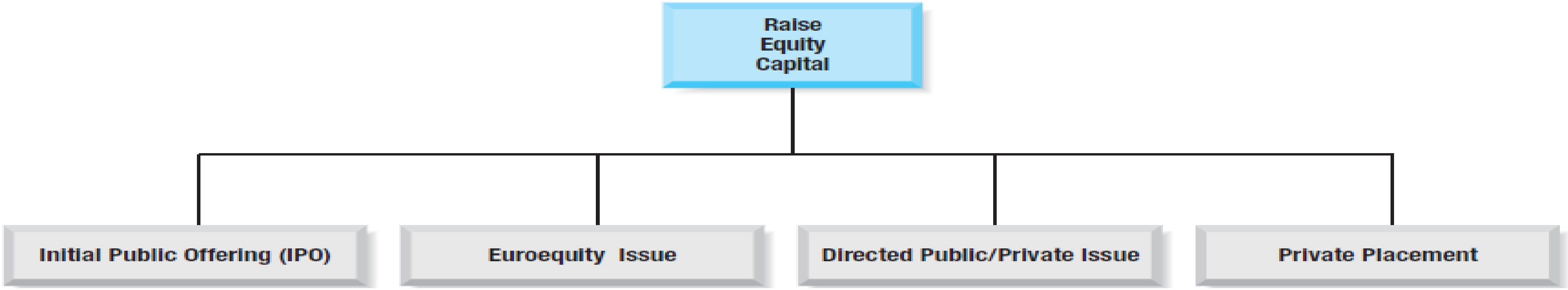
Since MNCs commonly invest in long-term projects, they rely heavily on long-term financing.
The MNC must consider :
the possible sources of equity or debt,
and the costs and risks associated with each source.

- Sources of equity and debt include:
  - domestic offering in local currency
  - global offering in multiple currencies
  - private placement to home country or financial institutions to host country financial institutions.

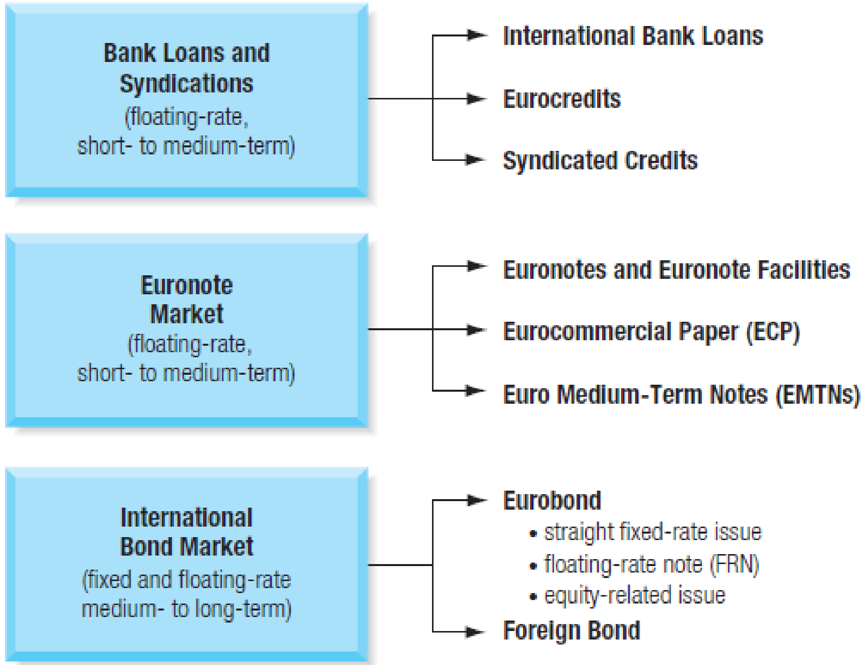
To estimate the cost, an MNC needs to:
- determine the amount of funds needed
- forecast
  - interest rate ,
  - issue price of the bond
  - the exchange rates for the times when it must pay the bondholders

Many MNCs obtain equity funding in their home country and engage in debt financing in foreign countries.

EXHIBIT 14.4 Equity Alternatives in the Global Market



International Debt Markets and Instruments



Debt financing decision:

1) Maturity
2) Currency
3) Repricing: fix or floating
4) Hedging

International short term financing

- The inter-company finance,
- The local currency loan
- Eurobank loans
- Factoring
- Euro notes
- Eurocommercial Paper
- Trade finance

Reducing Exchange Rate Risk-Debt financing

- Offsetting cash inflows
  - Foreign currency receipts can help offset bond payments in the same currency.
  - MNC can aggregate its cash inflows from all euro-zone countries to cover the payments for its euro-denominated bonds.
- Forward contracts
  - A firm may hedge its exchange rate risk through the forward market.
  - However, the firm may not be able to save costs due to interest rate parity.
- Currency swaps
  - A currency swap enables firms to exchange currencies at periodic intervals.
  - It can be a useful alternative to forward or futures contracts.
- Parallel loans
  - In a parallel (or back-to-back) loan, two parties simultaneously provide loans to each other (or to a subsidiary of the other party) with an agreement to repay at a specified point in the future.
- Diversifying among currencies
  - A firm may issue bonds in several foreign currencies for diversity.
  - To avoid the higher transaction costs associated with multiple bond issues, the firm may develop a currency cocktail bond.
  - One popular currency cocktail is the Special Drawing Right (SDR).

Interest Rate Risk from Debt Financing

- An MNC must also decide on the maturity that it should use for its debt.

- If the bond term is too short, the MNC may have to refinance at a higher interest rate.
- If the bond term matches the expected business life, the MNC is obligated to continue paying interest at the same rate even when market interest rates fall.
- Before making the debt maturity decision, MNCs may want to assess the yield curves of the countries in which they need funds.

- A yield curve is shaped by the demand for and supply of funds at various maturity levels in a country's debt market. An upward-sloping yield curve means that the annualized yields are lower for short-term debt than for long-term debt.
- MNCs that wish to issue a long-term bond but want to avoid the prevailing fixed rate may consider floating rate bonds.
- For example, the coupon rate is frequently tied to the London Interbank Offer Rate (LIBOR) or any other market instrument
- If the coupon rate is floating, forecasts are required for both exchange rates and interest rates.

Hedging with Interest Rate Swaps

- When MNCs issue floating-rate bonds that expose them to interest rate risk, they may use interest rate swaps to hedge the risk.
- Interest rate swaps enable a firm to exchange fixed rate payments for variable rate payments, and vice versa.
- Bond issuers use swaps to reconfigure their future cash flows in a way that offsets their payments to bondholders.
- Financial intermediaries are usually involved in swap agreements. They match up participants and assume the default risk involved for a fee.
- In a plain vanilla swap, the floating rate payer is typically highly sensitive to interest rate changes and seeks to reduce interest rate risk.

Cross-currency interest rate swap (CIRS) is an agreement by which the Bank and the Client undertake to exchange nominals and periodically exchange interest payments in two currencies.

The objective of CIRS is to hedge against FX risk with the opportunity to simultaneously hedge against interest rate risk in a given currency by way of an off-balance sheet swap of liability currency

(e.g. into currency in which company's revenue is generated) and a change of interest risk profile.

PAYMENT SYSTEM

- TARGE 2
- https://www.youtube.com/watch?v=G6x8NlYofPI
- https://www.federalreserve.gov/aboutthefed/payment-systems-video.htm

TARGET2 is the real-time gross settlement (RTGS) system owned and operated by the Eurosystem. Central banks and commercial banks can submit payment orders in euro to TARGET2, where they are processed and settled in central bank money, i.e. money held in an account with a central bank.

Payment systems

Time: How long does it take?

The **payment system** is an operational network that links bank accounts and provides the functionality for monetary exchange using bank deposits.

- Large-value Payment Systems

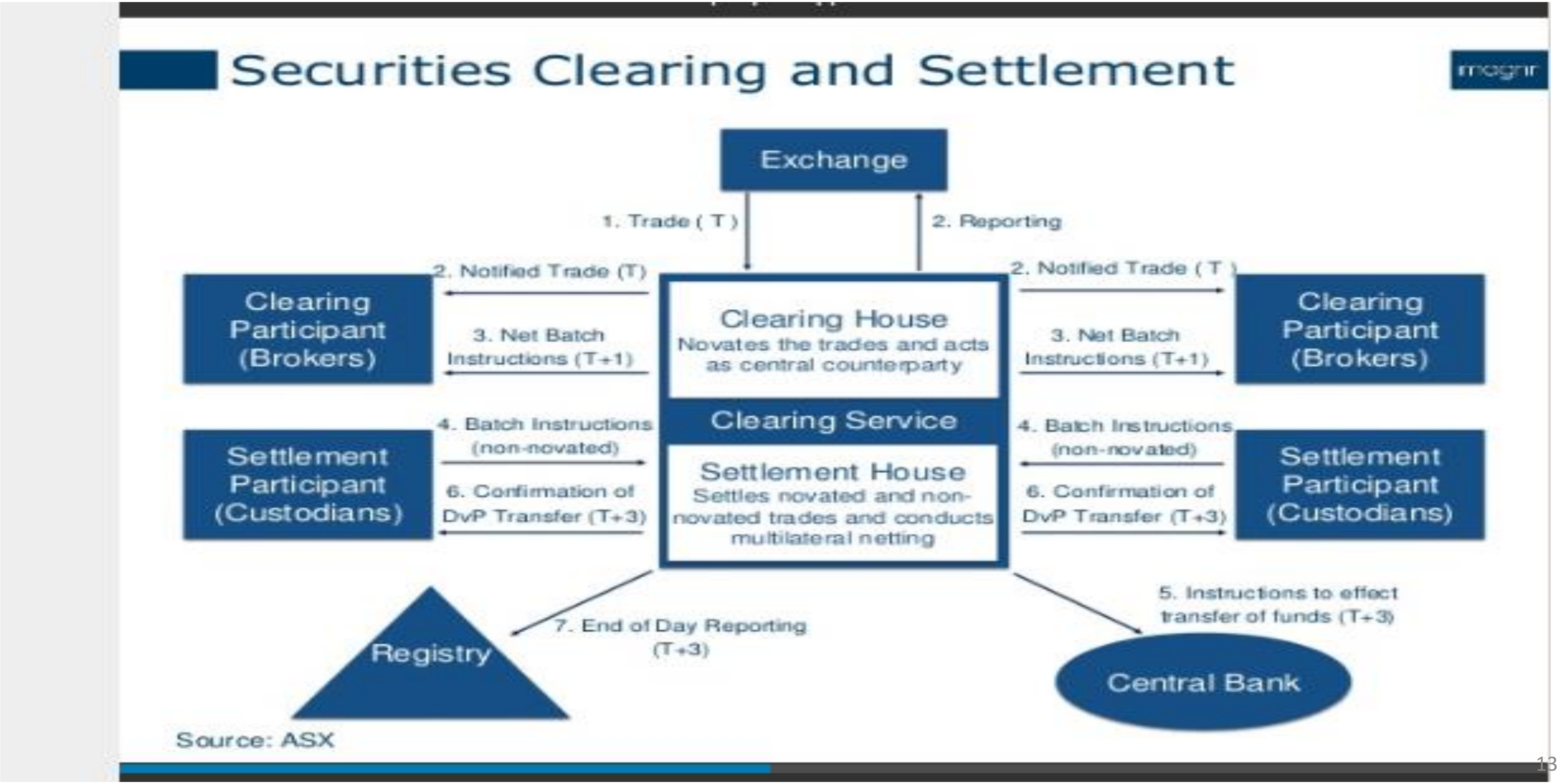
  Real Time Gross Settlement Systems (RTGS are funds transfer systems where transfer of money or securities takes place from one bank to another on a "real-time" and on "gross" basis.

  Others: Cheques, etc
- Retail Payment Systems
- Settlement Of Foreign Exchange Transactions
- Payment Systems Worldwide
- Securities Settlement Systems

- **Clearing: is the process** where the banks use the payment information to transfer money between themselves on behalf of the payor (buyer) and the beneficiary.
- **Settlemen**t is the final step in the basic process and occurs when the beneficiary's bank account is credited and the payor's bank account is debited. Final settlement occurs when the banks pass value among themselves.
- **Remittance:** is a transfer of money by a foreign worker to an individual in his or her home country

http://siteresources.worldbank.org/FINANCIALSECTOR/Resources/282044-1323805522895/121534_text_corrections_3-15.pdf

SECURITY Clearing And Settlment



International Payment system

The **Society for Worldwide Interbank Financial Telecommunication** (**SWIFT**) provides a network that enables financial institutions worldwide to send and receive information about financial transactions in a secure, standardized and reliable environment. SWIFT payments are a type of international transfer sent via the SWIFT international payment network.

The SWIFT international payment network is one of the largest financial messaging systems in the world. TransferWise can send or receive certain currencies via SWIFT payment.

The Swift code consists of 8 or 11 characters. When 8-digits code is given, it refers to the primary office.
First 4 characters - bank code (only letters)
Next 2 characters - ISO 3166-1 alpha-2 country code (only letters)
Next 2 characters - location code (letters and digits) (passive participant will have "1" in the second character)
Last 3 characters - branch code, optional ('XXX' for primary office) (letters and digits)

SEPA (Single Euro Payment Area),, is a European-based payment network. Fully implemented in 2014, SEPA is currently used by 38 European countries, including several not covered by the eurozone or in the European Union, such as Iceland, Switzerland and the UK.

The **Cross-Border Interbank Payment System** (**CIPS**) is a Chinese payment system that offers, clearing and settlement services for its participants’ in cross-border RMB payments and trade.

An Example of How International Payments Work

if a company are located in the United States and want to send a funds transfer to India, the steps are the following:

1. The company must first setup the beneficiary and then transfer funds from company's account to the beneficiary.

2. The next step is when company's bank in the United States debits company's account and credits its account with the funds.

3. After this, it transfers the money to its partner bank in India or if it does not have any dealings with Indian banks, it contacts a bank in the United States that has such dealings and in both these cases;

4. The funds are then transferred from the banks in the United States to the bank in India.

5. Once the banks in India receive the funds, they must then send it to the ultimate beneficiary wherein the funds are debited from its account and credited to the recipient. This step might be a single or two step processes depending on the recipient holding an account with the concerned bank that receives the funds.

Example In Hungary)

Table 2 Typical payments performed by the systems overseen by the MNB		
Overseen systems		Typical transactions
VIBER		– bank-to-bank items: financial market transactions (i.e. HUF leg of HUF FX transactions, HUF cash leg of securities transactions) – settlement of the ICS intraday clearing cycyles – central bank operations (e.g. cash and monetary policy operations) – customer transactions: large value urgent corporate or household payments
ICS	overnight clearing	– paper based credit transfers (i.e. salary or pension payments) – direct debits (i.e. bill payments) – transactions of the State Treasury
	intraday clearing	– retail payments: electronic credit transfers submitted by clients
KELER		– clearing and settlement of (1) regulated market transactions not guaranteed by KELER CCP; (2) OTC transactions; and (3) international transactions. – settlement of regulated market transactions guaranteed by KELER CCP Settlement includes the delivery and payment of financial instrument related to the transactions
KELER CCP		– clearing of regulated market (guaranteed) transactions including derviative transactions Calculation of margining and collateral requirements

http://english.mnb.hu/Root/Dokumentumtar/ENMNB/Kiadvanyok/report-on-payment-systems/MNB_JFR_2014_junius_ENG_digitalis.pdf

Payment Methods for International Trade

- In any international trade transaction, credit is provided by either
  - the supplier (exporter)
  - the buyer (importer)
  - one or more financial institutions, or
  - any combination of the above.
- The form of credit whereby the supplier funds the entire trade cycle is known as **supplier credit.**

Payment Methods for International Trade

Method 1: Prepayments

The goods will not be shipped until the buyer has paid the seller.

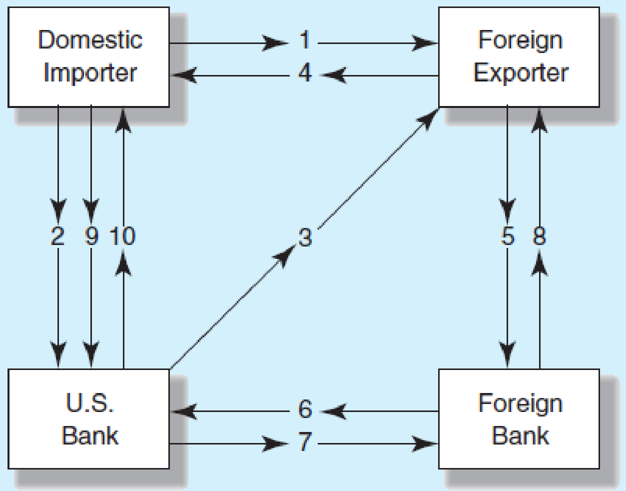
- *Time of payment*: before shipment
- *Goods available to buyers*: after payment
- *Risk to exporter*: none
- *Risk to importer*: relies completely on exporter to ship goods as ordered.

Payment Methods for International Trade

Method 2: Letters of credit (L/C)

These are issued by a bank on behalf of the importer promising to pay the exporter upon presentation of the shipping documents.

- *Time of payment*: when shipment is made
- *Goods available to buyers*: after payment
- *Risk to exporter*: very little or none
- *Risk to importer*: relies on exporter to ship goods as described in documents.

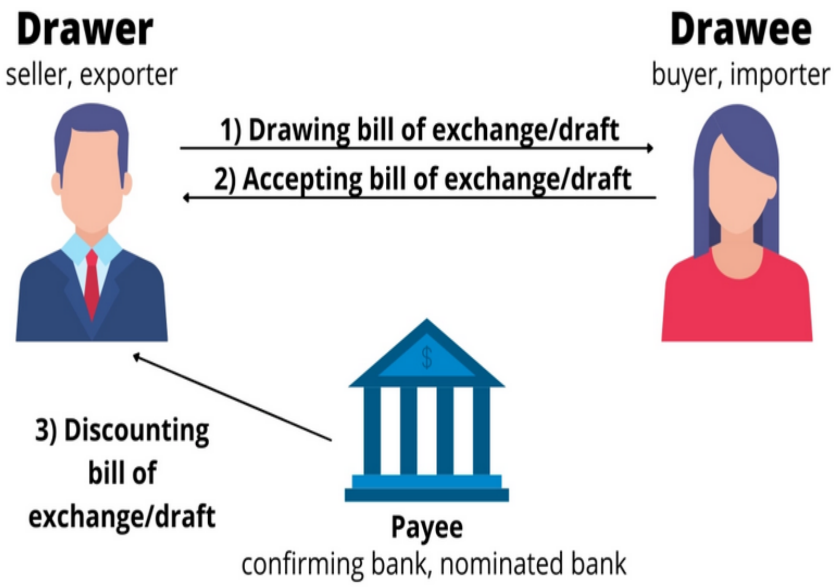


1. Purchase order sent.
2. Letter of credit requested.
3. Notification of letter of credit and draft authorization.
4. Order shipped.
5. Time draft and shipping papers sent to foreign bank.
6. Time draft and shipping papers sent to U.S. bank; banker's acceptance created.
7. Payments sent to foreign bank.
8. Payments sent to foreign exporter.
9. Payment to U.S. bank.
10. Shipping papers delivered.

Payment Methods for International Trade

Method 3: Drafts (Bills of Exchange)

- These are unconditional promises drawn by the exporter instructing the buyer to pay the face amount of the drafts.
- Banks on both ends usually act as intermediaries in the processing of shipping documents and the collection of payment. In banking terminology, the transactions are known as documentary collections
- *Sight drafts (documents against payment)*: when the shipment has been made, the draft is presented to the buyer for payment.
- *Time of payment*: on presentation of draft
- *Goods available to buyers*: after payment
- *Risk to exporter*: disposal of unpaid goods
- *Risk to importer*: relies on exporter to ship goods as described in documents.



Payment Methods for International Trade

Method 4: Consignments

The exporter retains actual title to the goods that are shipped to the importer.

- *Time of payment*: at time of sale by buyer to third party.
- *Goods available to buyers*: before payment.
- *Risk to exporter*: allows importer to sell inventory before paying exporter.
- *Risk to importer*: none.

Payment Methods for International Trade (8)

Method 5: Open Accounts

The exporter ships the merchandise and expects the buyer to remit payment according to the agreed-upon terms.

- *Time of payment*: as agreed upon.
- *Goods available to buyers*: before payment.
- *Risk to exporter*: relies completely on buyer to pay account as agreed upon.
- *Risk to importer*: none.

Open Account Market

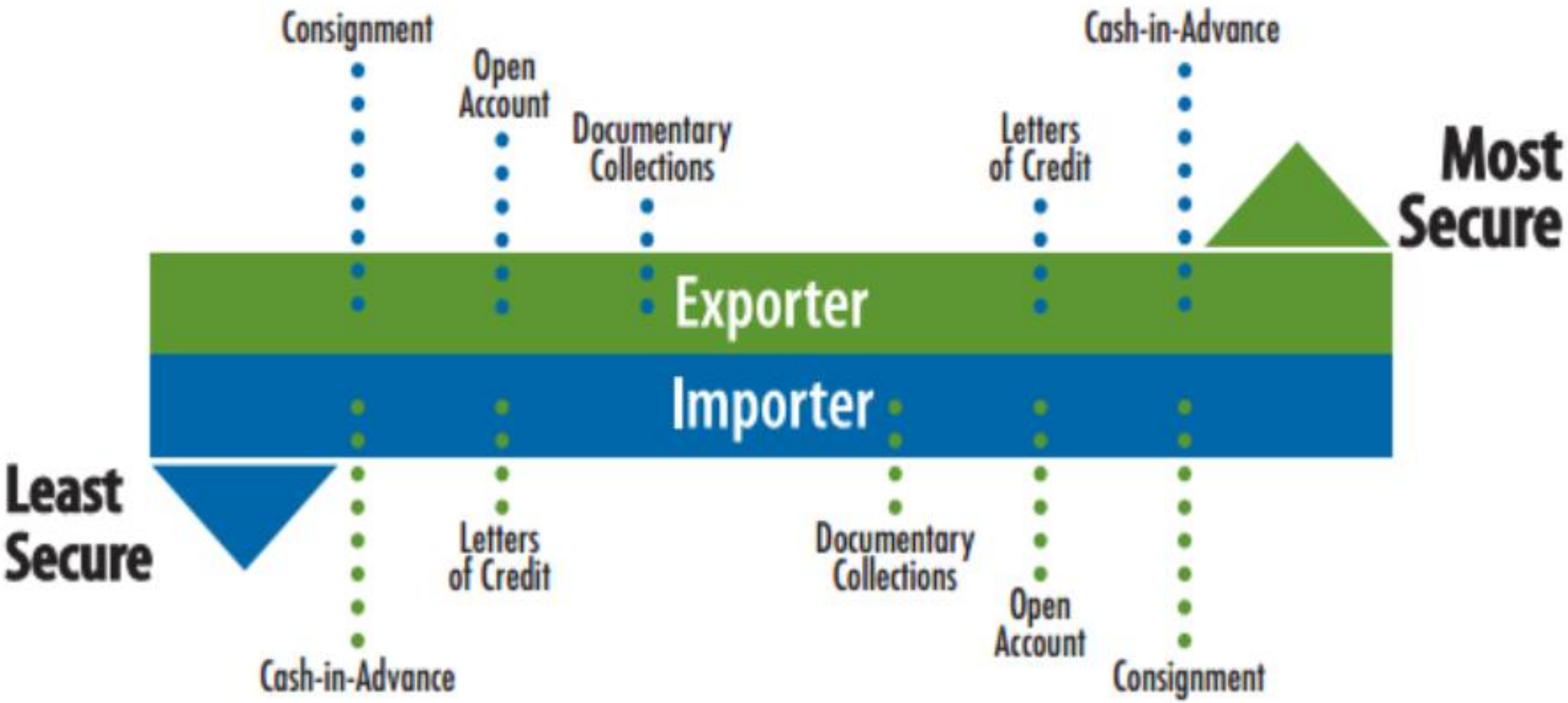
As global economies become more integrated, it is easier for exporters and importers themselves to access dependable information about foreign-trade partners, and they are less willing to pay for the risk protection afforded by traditional methods.

This has led to a preference for open accounts, and banks can provide value through supply chain finance (SCF), taking care of invoices and funding suppliers (and buyers) against invoices. There is a huge potential market in open account transactions, and banks can take advantage of these volumes by promoting their foreign exchange and SCF services more consistently.

- Reverse factoring allows sellers to sell their receivables and/or drafts relating to a particular buyer to a bank at a discount as soon as they are approved by the buyer.

https://tfig.unece.org/contents/supply-chain-finance.htm

Figure 1: Payment Risk Diagram



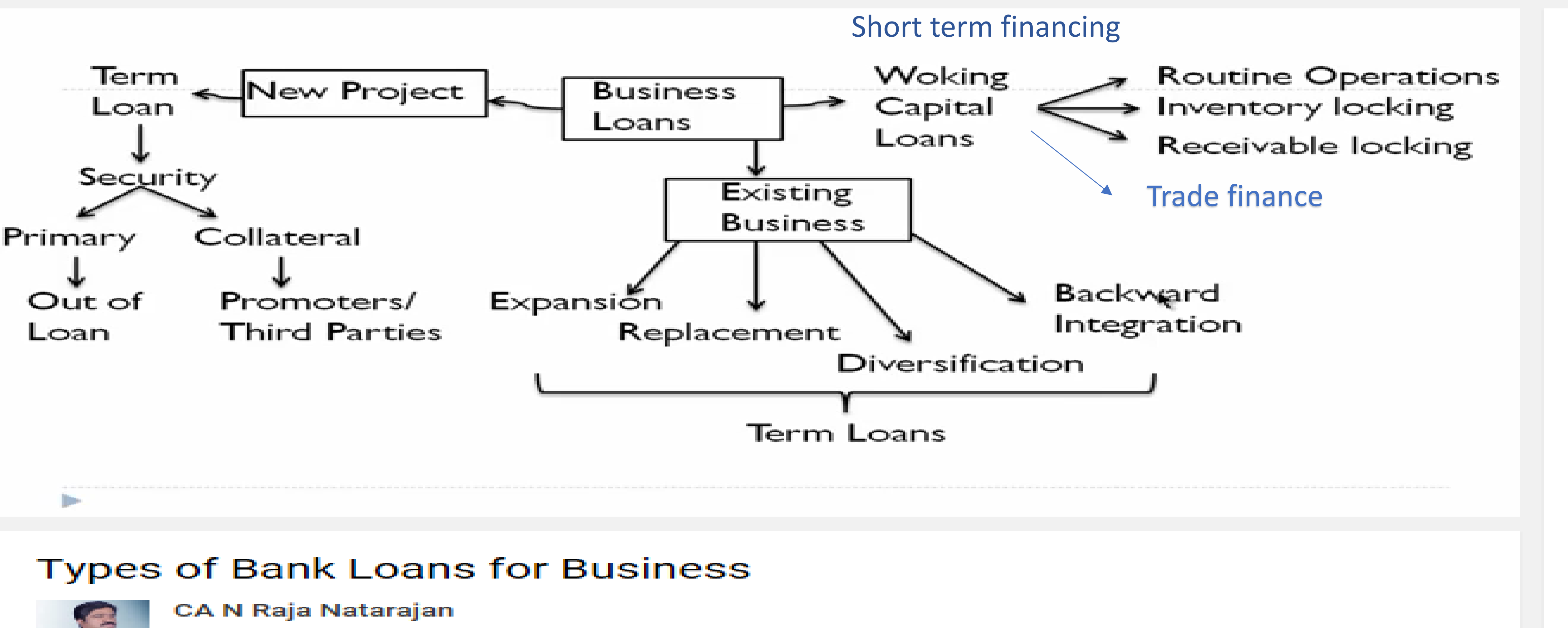
https://www.trade.gov/methods-payment

Comparison of Payment Methods

Method	Usual Time of Payment	Goods Available to Buyers	Risk to Exporter	Risk to Importer
Prepayment	Before shipment	After payment	None	Relies completely on exporter to ship goods as ordered
Letter of credit	When shipment is made	After payment	Very little or none, depending on credit terms	Assured shipment made, but relies on exporter to ship goods described in documents
Sight draft; documents against payment	On presentation of draft to buyer	After payment	If draft unpaid, must dispose of goods	Same as above unless importer can inspect goods before payment
Time draft; documents against acceptance	On maturity of drafts	Before payment	Relies on buyer to pay drafts	Same as above
Consignment	At time of sale by buyer	Before payment	Allows importer to sell inventory before paying exporter	None; improves cash flow of buyer
Open account	As agreed	Before payment	Relies completely on buyer to pay account as agreed	None

Short term financing methods

Types of Business loans



Video:
https://www.investopedia.com/terms/s/syndicatedloan.asp

Syndicated lending

- Banks engage in syndicated lending **to diversify their portfolio**, both as a matter of commercial prudence and to comply with capital-adequacy requirements.
- Syndicated lending benefits the borrowers in several ways.
  - It offers a wide range of maturities—from 364 days of revolving credit to 10-year project finance loans.
  - it provides necessary flexibility in loan drawdown during project construction.
  - Bank loans can usually be repaid without penalty, creating flexibility for later refinancing

Commercial Bank loans

- **End-of-period-payment loan**.
- Such a loan agreement requires that the firm pay interest on the loan and pay back the principal in one lump sum at the end of the loan.
- The interest rate may be fixed or variable.
- The **prime rate** is the rate banks charge their most creditworthy customers.

Line of credit, in which a bank agrees to lend a firm any amount up to a stated maximum. This flexible agreement allows the firm to draw upon the line of credit whenever it chooses. Firms frequently use lines of credit to finance seasonal needs.

- The line of credit may be an **uncommitted line of credit**, meaning it is an informal agreement that does not legally bind the bank to provide the funds. As long as the borrower's financial condition remains good, the bank is happy to advance additional funds.
- A **committed line of credit** consists of a written, legally binding agreement that obligates the bank to provide the funds regardless of the financial condition of the firm (unless the firm is bankrupt), as long as the firm satisfies any restrictions in the agreement.

A **bridge loan** is often used to "bridge the gap" until a firm can arrange for long-term financing. For example, a real estate developer may use a bridge loan to finance the construction of a shopping mall. After the mall is completed, the developer will obtain long-term financing.

FEEs

Commitment Fees. Various loan fees charged by banks affect the effective interest rate that the borrower pays.

For example, the **commitment fee associated with a committed line of credit** increases the effective cost of the loan to the firm. The “fee” can really be considered an interest charge under another name.

- **Loan Origination Fee.** Another common type of fee is a **loan origination fee**, which a bank charges to cover credit checks and legal fees.

Suppose that a firm has negotiated a committed line of credit with a stated maximum of $1 million and an interest rate of 10% (EAR) with a bank. The commitment fee is 0.5% (EAR). At the beginning of the year, the firm borrows $800,000. It then repays this loan at the end of the year, leaving $200,000 unused for the rest of the year.

Interest on borrowed funds = 0.10($800,000)	=	$80,000
Commitment fee paid on unused portion = 0.005($200,000)	=	$ 1,000
Total cost		$81,000

Commercial paper

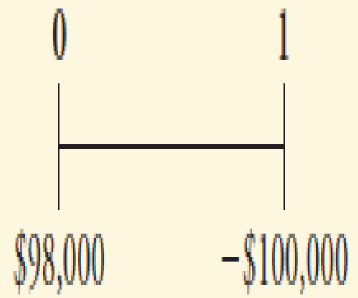
Commercial paper is short-term, unsecured debt used by large corporations that is usually a cheaper source of funds than a short-term bank loan.
The minimum face value is $25,000, and most commercial paper has a face value of at least $100,000. The interest on commercial paper is typically paid by selling it at an initial discount.

Extending the maturity beyond 270 days triggers a registration requirement with the Securities and Exchange Commission (SEC), which increases issue costs and creates a time delay in the sale of the issue. Commercial paper is referred to as either direct paper or dealer paper.

- With **direct paper**, the firm sells the security directly to investors.
- With **dealer paper**, dealers sell the commercial paper to investors in exchange for a spread (or fee) for their services. The spread decreases the proceeds that the issuing firm receives, thereby increasing the effective cost of the paper. Like long-term debt, commercial paper is rated by credit rating agencies.

Solution

Let's put the firm's cash flows on a timeline:



The actual three-month interest rate paid is

$$\frac{100{,}000}{98{,}000} - 1 = 2.04\%$$

Expressing this as an EAR gives $1.0204^4 - 1 = 8.42\%$.

Accounts Receivable as Collateral

Firms can use accounts receivable as security for a loan by pledging or factoring.

Pledging of Accounts Receivable.

In a **pledging of accounts receivable** agreement, the lender reviews the invoices that represent the credit sales of the borrowing firm and decides which credit accounts it will accept as collateral for the loan, based on its own credit standards. The lender then typically lends the borrower some percentage of the value of the accepted invoices—say, 75%.

If the borrowing firm's customers default on their bills, the firm is still responsible to the lender for the money.

Factoring of Accounts Receivable.

In a **factoring of accounts receivable** arrangement, the firm sells receivables to the lender (i.e., the factor), and the lender agrees to pay the firm the amount due from its customers at the end of the firm's payment period.

Inventory as a collateral

- In a **floating lien**, **general lien**, or **blanket lien (zálogjog)** arrangement, all of the inventory is used to secure the loan. This arrangement is the riskiest setup from the standpoint of the lender because the value of the collateral used to secure the loan dwindles as inventory is sold.

- With a **trust receipts loan** or **floor planning**, distinguishable inventory items are held in trust as security for the loan.

  As these items are sold, the firm remits the proceeds to the lender as repayment of the loan. The lender periodically sends someone to ensure that the borrower has not sold some of the specified inventory and failed to make a repayment on the loan.
  Car dealerships often use this type of secured financing arrangement to obtain the funds needed to purchase vehicles from the manufacturer.

In a **warehouse arrangement**, the inventory that serves as collateral for the loan is stored in a warehouse. From the lender's standpoint, a warehouse arrangement is the least risky collateral arrangement.

This type of arrangement can be set up in one of two ways.

- The first method is to use a **public warehouse (közraktár) .**
- The second: a field warehouse, is operated by a third party but is set up on the borrower’s premises in a separate area so that the inventory collateralizing the loan is kept apart from the borrower’s main plant.

This type of arrangement is convenient for the borrower but gives the lender the added security of having the inventory that serves as collateral controlled by a third party.

Trade Finance Methods

- Accounts Receivable Financing
  - An exporter that needs funds immediately may obtain a bank loan that is secured by an **assignment of the account receivable.**
- Banker's Acceptance (BA)
  - This is a time draft that is drawn on and accepted by a bank (the importer's bank). The accepting bank is obliged to pay the holder of the draft at maturity.
- Factoring (Cross-Border Factoring)
  - **The accounts receivable are sold to a third party** (the factor), that then assumes all the responsibilities and exposure associated with collecting from the buyer.
- Working Capital Financing
  - Banks may provide short-term loans that finance the working capital cycle, from the purchase of inventory until the eventual conversion to cash. Generally, working capital includes the following:**. Current assets (**Cash Accounts receivable within one year, Inventory) **Current liabilities (**Accounts payable due within a year,Short-term debt payments due within one year)

The key players profiled in the trade finance market

The trade finance market size is segmented into

- banks,
- trade finance houses, and
- others.

- The banks segment generated the highest revenue in 2020 and is anticipated to continue the same during the forecast period
- The **banks act as intermediaries in trade finance ecosystem to provide inter-firm trade credits to buyers**, sellers, and other parties involved in the trade.

- Support from banks to firm's ability to mitigate payment risk by purchasing trade credit insurance boosts the market growth.

- Furthermore, banks are accelerating trade finance processes by **transforming their paper-based methods to more efficient and transparent digitized models**, thus becoming the highest service providers in the trade finance market.

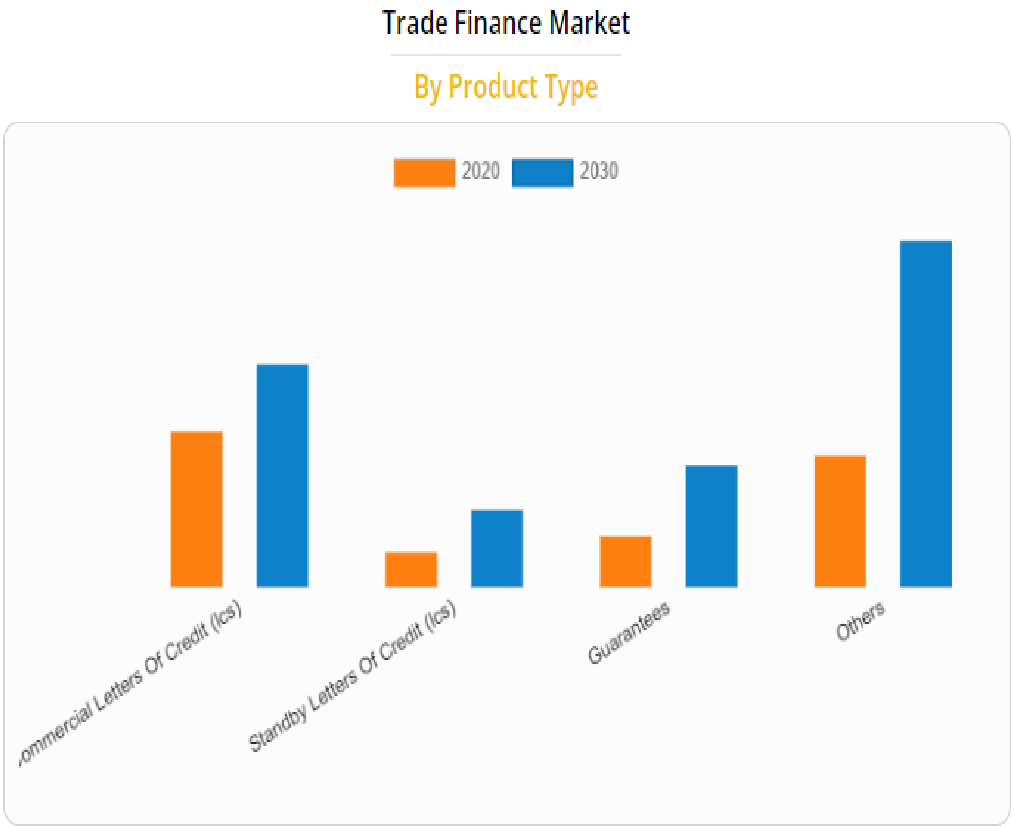
- **The key player:**
  - Asian Development Bank,
  - Bank of America Corporation,
  - BNP Paribas S.A.,
  - Citigroup Inc.,
  - Euler Hermes Group,
  - HSBC Holdings PLC,
  - JPMorgan Chase & Co,
  - Mitsubishi UFJ Financial Inc.,
  - The Royal Bank of Scotland Group plc, and
  - Standard Chartered PLC.

Trade Finance Market

- The global trade finance market size was valued at **$44.09 billion** in 2020,
- and is projected to **reach $90.21 billion** by 2030,
- registering a CAGR of **7.4%** from 2021 to 2030.

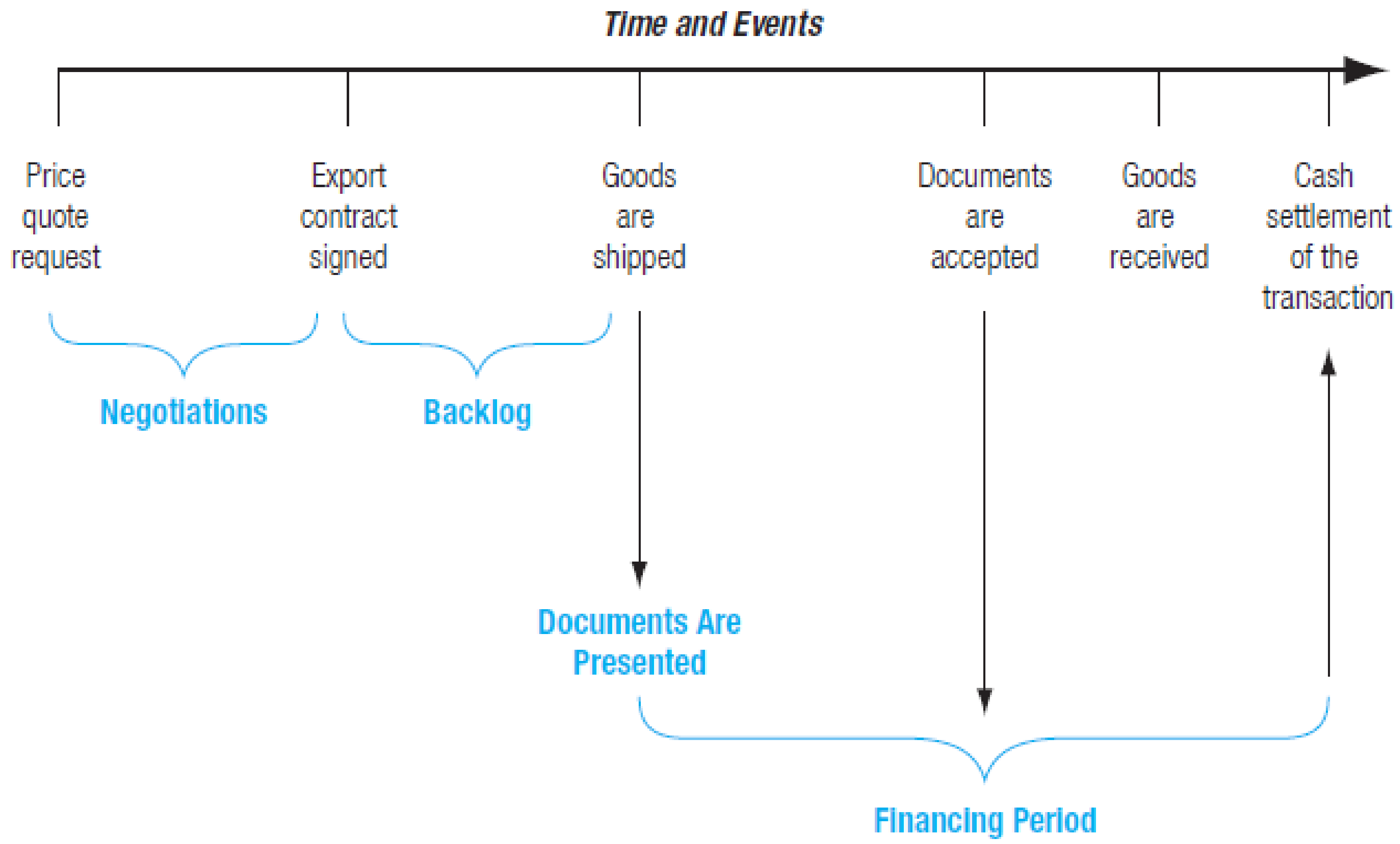
- The traditional trade is changing the **historic favorable letter of credit** and promissory note and bill of exchange has become less common and **replaced by an increase in open account trade and finance.**

- **The development of technologies** such as Optical Character Recognition **(OCR**) to read container numbers, Radio Frequency Identification **(RFID)** and Quick Response (QR) codes to identify and trace shipments, blockchain, and enhancing digitization of trade documents drive the trade finance market growth.



Commercial Letters of Credit (LCs) segment accounted for the highest market share in 2020

Source: report published by Allied Market Research, titled, “Trade Finance Market by Product Type, Provider, Application, and End User: Global Opportunity Analysis and Industry Forecast, 2021–2030,” IBIT 20.5 The Trade Transaction Timeline and Structure



Letters of Credit

- Letters of Credit (L/C)
  - These are issued by a bank on behalf of the importer promising to pay the exporter upon presentation of the shipping documents.
  - The importer pays the issuing bank the amount of the L/C plus associated fees.
  - Commercial or import/export L/Cs are usually irrevocable.
  - Sometimes, the exporter may request that a local bank confirm (guarantee) the L/C.
  - The required documents typically include a draft (sight or time), a commercial invoice, and a bill of lading (receipt for shipment).

Example of an Irrevocable Letter of Credit

Name of issuing bank

Address of issuing bank

Name of exporter

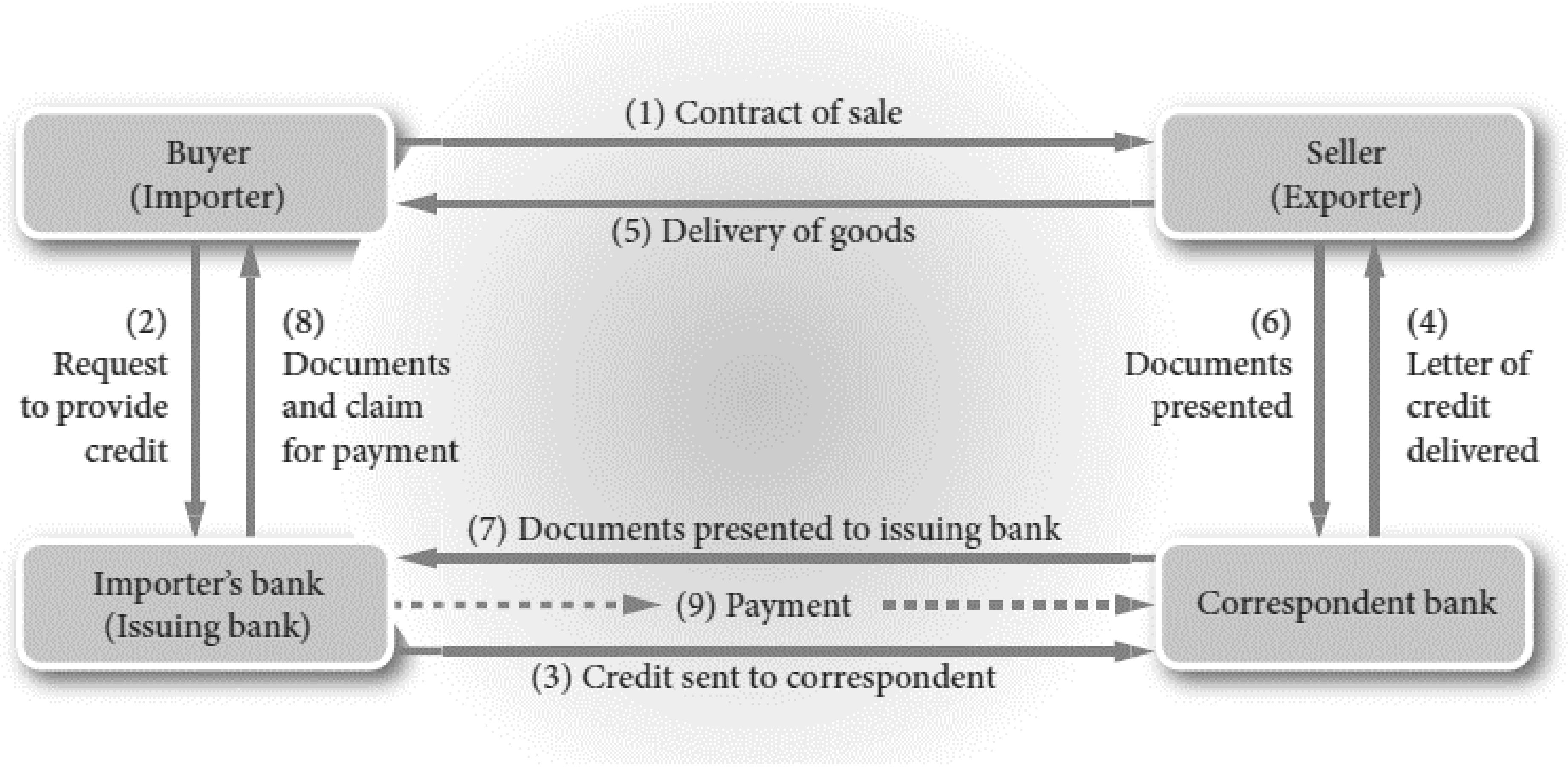
Address of exporter

We establish our irrevocable letter of credit:
for the account of (*importer name*),
in the amount of (*value of exports*),
expiring (*date*),
available by your draft at (*time period*) days sight and accompanied by: (any invoices, packing lists, bills of lading, etc., that need to be presented with the letter of credit)
Insurance provided by (*exporter or importer*)
covering shipment of (*merchandise description*)
From: (*port of shipment*)
To: (*port of arrival*)

(Authorized Signature)

____

Documentary Credit Procedure



Letters of Credit

Variations include

- *standby L/Cs*: funded only if the buyer does not pay the seller as agreed upon
- *transferable L/Cs*: the first beneficiary can transfer all or part of the original L/C to a third party
- *assignments of proceeds under an L/C*: the original beneficiary assigns the proceeds to the end supplier.

Real-Life Example of a Letter of Credit
Citibank offers letters of credit for buyers in Latin America, Africa, Eastern Europe, Asia, and the Middle East who may have difficulty obtaining international credit on their own. Citibank's letters of credit help exporters minimize the importer's country risk and the issuing bank's commercial credit risk.

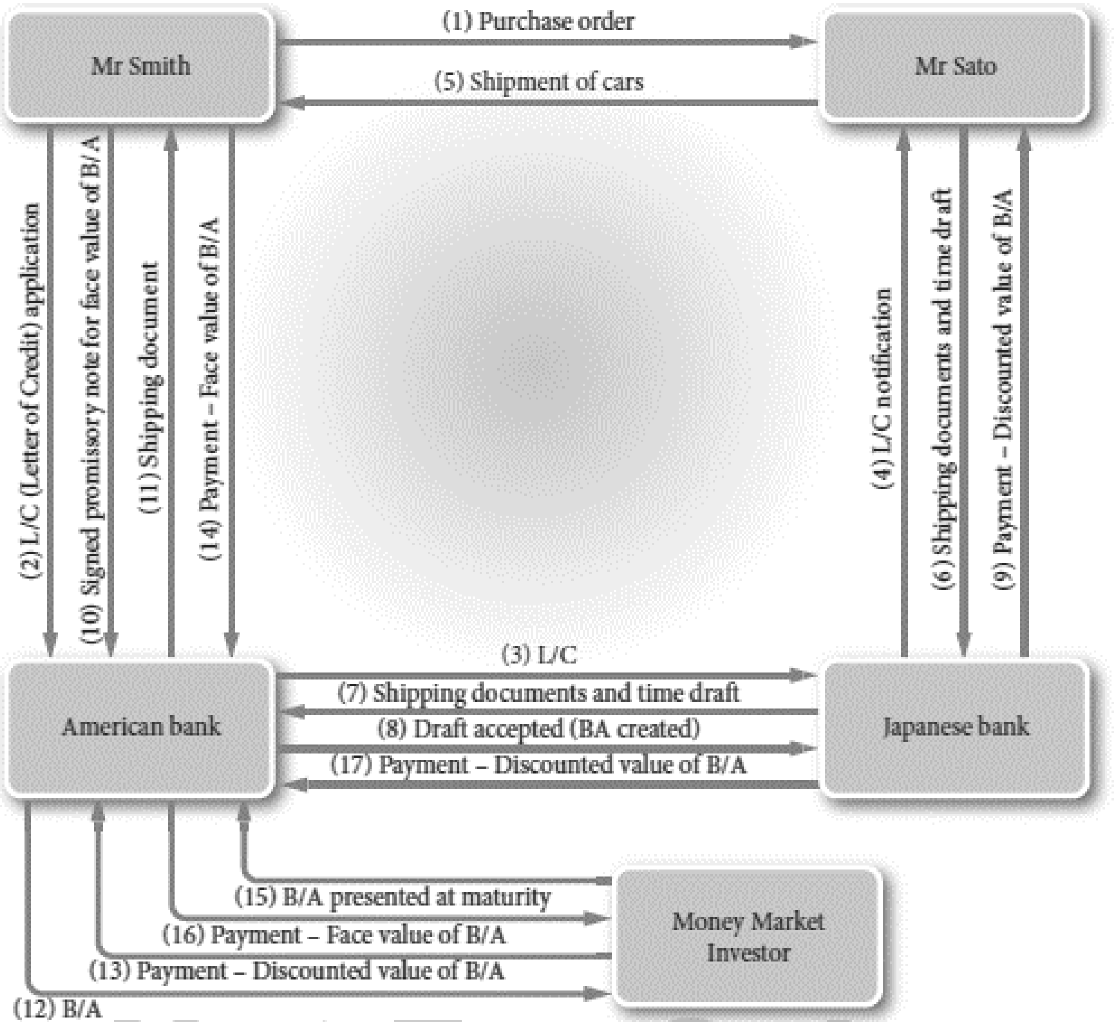
Letters of credit are typically provided within two business days, guaranteeing payment by the confirming Citibank branch.

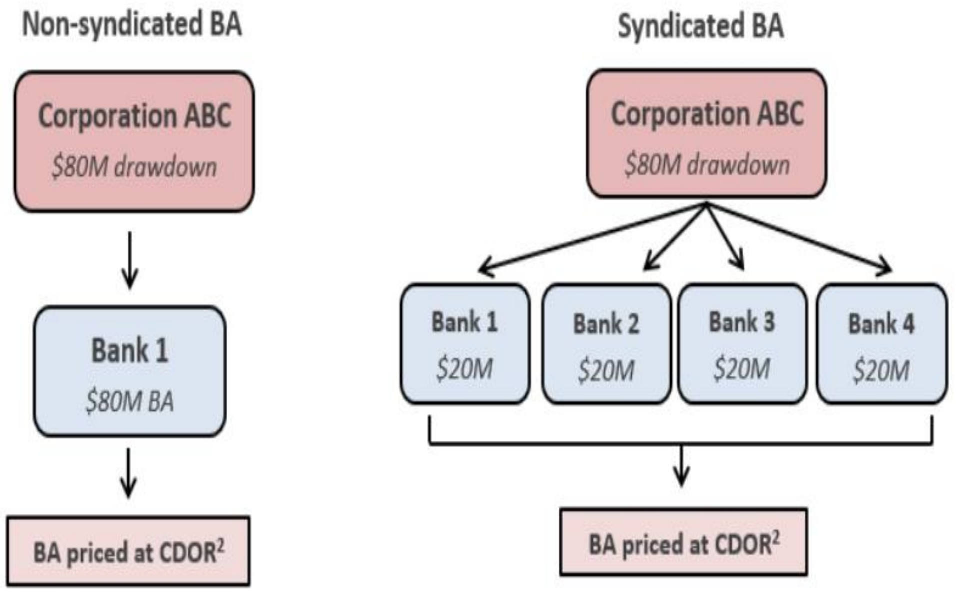
This benefit is especially valuable when a client is located in a potentially unstable economic environment.

Banker's Acceptance (BA)

- This is a time draft that is drawn on and accepted by a bank (the importer's bank). The accepting bank is obliged to pay the holder of the draft at maturity.
- If the exporter does not want to wait for payment, it can request that the BA be sold in the money market. **Trade financing is provided by the holder of the BA.**
- **In general, all-in-rates are lower than bank loan rates**. They usually fall between the rates of short-term Treasury bills and commercial papers.
- The bank accepting the drafts charges an *all-in-rate* (interest rate) **that consists of the discount rate plus the acceptance commission.**

Life Cycle of a Typical Banker's Acceptance

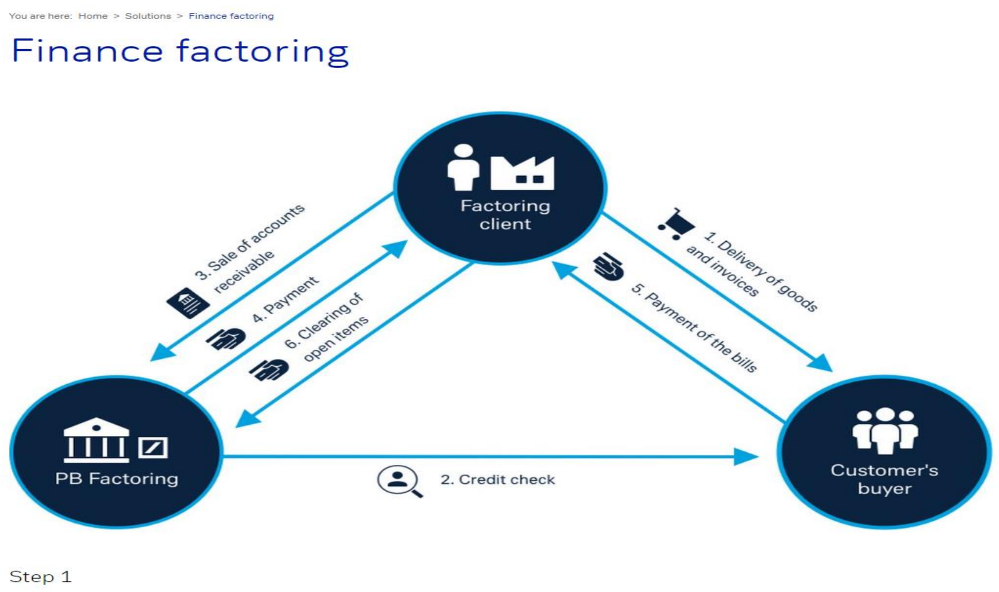




[1] Allocation amounts for syndicated banker's acceptances (BA) issuance are determined by the underlying loan agreement.
[2] Not all BA facilities reference the Canadian Dollar Offered Rate (CDOR) in their loan agreement.

https://www.bankofcanada.ca/wp-content/uploads/2018/06/SDP-2018-6.pdf

Factoring

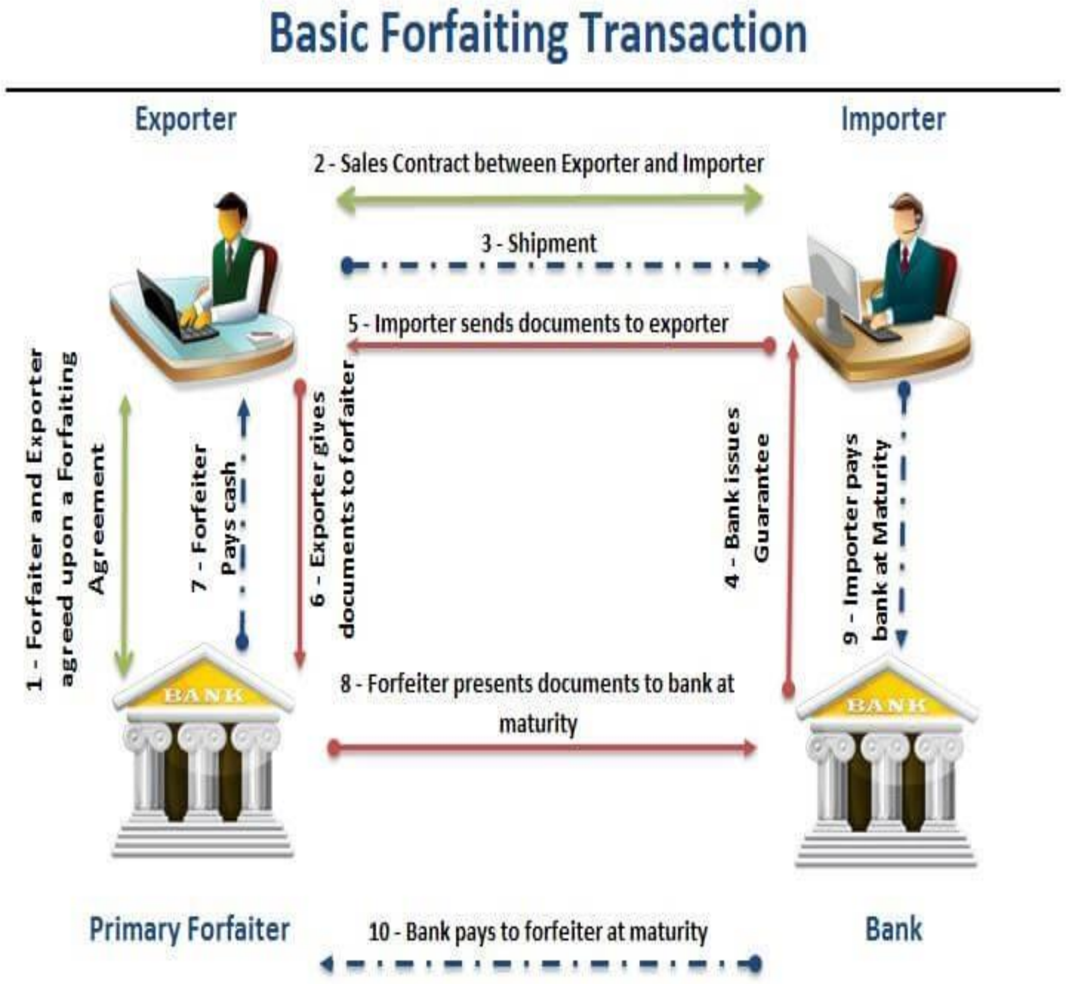


The factoring fee in the market right now is basically consists of two factors:

1. for the service and risk-taking of the factor from the factoring fee payable: to the gross invoice amount projected 0.5 to 2.5 percent of that bill will be accounted for once upon submission.
2. and the price of money, interest: interest mainly the development of interest rates and the customer's rating and solvency

Trade Finance Methods (8)

- Medium-Term Capital Goods Financing (Forfaiting)
  - The importer issues a promissory note to the exporter to pay for its imported capital goods over a period that generally ranges from 3 to 7 years.
  - The exporter then sells the note, without recourse, to a bank (the forfaiting bank).



Difference between Factoring and Forfaiting

Sl. No.	Characteristic	Factoring	Forfaiting
1.	Suitability	For transactions with short-term maturity	For transactions with medium-term maturity period
2.	Recourse	Can be either with or without recourse	Can be without recourse only
3.	Risk	Risk can be transferred to seller	All risks are assumed by the forfaiter
4.	Cost	Cost of factoring is usually borne by the seller	Cost of forfeiting is borne by the overseas buyer (importer)
5.	Coverage	Covers a whole set of jobs at a predetermined price	Structuring and costing is done on a case-to-case basis
6.	Extent of Financing	Only a certain percent of receivables factors is advanced	Hundred percent finance is available
7.	Basis of financing	Financing depends on the credit standing of the exporter	Financing depends on the financial standing of the availing bank
8.	Services	Besides financing a Factor also provides other services such as ledger administration etc.	It is a pure financing arrangement
9.	Exchange fluctuations	No security against exchange rate fluctuations	A forfeiter guards against exchange rate fluctuations for a premium charge
10.	Contract	Between seller and Factor	Between exporter and Forfaiter

Countertrade

- Countertrade
  - These are foreign trade transactions in which the sale of goods to one country is linked to the purchase or exchange of goods from that same country.
  - Common countertrade types include barter, compensation (product buy-back), and counter purchase.
  - The primary participants are governments and MNCs.

Agencies that Motivate International Trade (1)

- Due to the inherent risks of international trade, government institutions and the private sector offer various forms of export credit, export finance, and guarantee programs to reduce risk and stimulate foreign trade.

Export-Import Bank of the US (Ex-Imbank)

- This US government agency aims to create jobs by financing and facilitating the export of US goods and services and maintaining the competitiveness of US companies in overseas markets.
- It offers guarantees of commercial loans, direct loans, and export credit insurance.

Private Export Funding Corporation (PEFCO)

- PEFCO is a private corporation that is owned by a consortium of commercial banks and industrial companies.
- In cooperation with Ex-Imbank, PEFCO provides medium- and long-term fixed-rate financing for foreign buyers through the issuance of long-term bonds.

Agencies that Motivate International Trade (4)

- In the UK export services are provided by the Export Credit Guarantee Department (ECGD). For a fee, it provides a guarantee of payment to UK exporters on transactions ranging from £25,000 to over £100 million.
- As with all government agencies a moral as well as a practical rationale is required to justify their role. On the virtuous side, Third World countries termed Heavily Indebted Poor Countries (HIPC – this is an official IMF term) often have poor credit records.
- There is also, surprisingly, a less virtuous argument. The true purpose of the ECGD is to finance and thereby subsidize domestic industry with little real concern for the recipient country. Arms sales (some 24 per cent of business) are particularly difficult to justify as necessary for a developing country.

OUR PRODUCTS

CROSS-BORDER FINANCING AND INSURANCE

We provide direct or indirect financing to your foreign customers and cover your risk

MORE

DOMESTIC FINANCING

We finance your working capital needs or investments with fixed-interest loans

MORE

GUARANTEES

We support your commercial transactions or borrowing with commercial and loan guarantees backed by state suretyship

MORE

EQUITY AND VENTURE CAPITAL FUNDS

Our domestic and international funds improve your competitiveness by strengthening your capitalization

MORE

EXPORT EXPERT

https://exim.hu/en/index.php#products

Thank you for your attention !